

Session 3 — Global Governance Failure: Enron and Theranos

By the end of this session you must know what made Enron's business model different from a normal energy company, how mark-to-market accounting and Special Purpose Entities (SPEs) let Enron inflate profits and hide debt, the governance failures behind Enron's collapse, what made Theranos's fraud structurally different from an accounting fraud like Enron's, and the recurring governance-failure ingredients common to both cases.

Plan

1. Enron: Background and the Business Model Shift
2. Enron: Mark-to-Market Accounting
3. Enron: Special Purpose Entities (SPEs)
4. Enron: Key Governance Failures
5. Theranos: Background and Why It Succeeded
6. Theranos: How the Fraud Worked and Why It Differs From Enron
7. Theranos: Key Governance Failures
8. Common Mistakes and Exam Traps
9. Must Know Absolutely

1. Enron: Background and the Business Model Shift

Enron was founded in 1985 in Houston, Texas, from the merger of two gas companies, and grew into one of the largest energy firms in the world. At its peak it was ranked 7th in the Fortune 500 and was seen as a symbol of innovation, until its collapse in 2001 exposed one of the largest accounting frauds in history.

What made Enron different: Enron shifted from energy **production** to energy **trading**, focusing on financial engineering, derivatives and risk-taking rather than core operations. It effectively became a "trading house" rather than a traditional utility.

2. Enron: Mark-to-Market Accounting

Mark-to-market / accelerated earnings accounting (as used by Enron): a method that allowed Enron to recognize revenues from long-term contracts immediately, instead of spreading them over the life of the contract.

- This inflated reported profits and disconnected the accounting from actual cash flows.
- It misled investors and analysts about Enron's real performance.

Long-term gas contract: Enron signs a 20-year contract to supply gas. Instead of recording revenue year by year as the gas is delivered, Enron estimated the **total future profit** of the whole contract and booked it immediately as current income. If market prices later changed or costs increased, the contract could end up losing money, but the profit had already been recorded as if it were certain.

3. Enron: Special Purpose Entities (SPEs)

Special Purpose Entity (SPE): a legal entity created outside the main company, generally used to hold assets or debt separately from the parent's balance sheet. In theory, SPEs exist to manage risk, finance specific projects, and keep liabilities separate.

Banks did not do adequate due diligence on Enron's use of SPEs for three reasons: conflicts of interest (banks earned fees from Enron), underestimated reputational risk, and the sheer complexity and opacity of the structures involved.

How Enron abused SPEs:

- Transferred debt to SPEs, keeping it off Enron's own balance sheet.
- Reported only profits from these arrangements, hiding the associated losses and liabilities.
- Used complex, opaque structures so that banks and auditors didn't (or wouldn't) question them.

The result: Enron appeared much healthier than it actually was, and investors, analysts and regulators were misled about its true financial stability.

SPE debt hiding, simplified: Enron borrows \$1 billion. Instead of recording this as debt on its own books, it creates an SPE. The SPE holds the debt, and Enron's own balance sheet shows only the resulting cash inflow. The balance sheet looks clean, but the underlying risk is still Enron's.

4. Enron: Key Governance Failures

- Aggressive accounting (mark-to-market) that inflated profits and misled investors.
- Special Purpose Entities that hid debt and reduced transparency.
- The board and the auditors (Arthur Andersen) failed to challenge management.
- A toxic culture of excessive risk-taking, greed and conflicts of interest.
- Regulatory gaps that enabled the manipulation to continue undetected.

Enron's lesson (as stated in the lecture): without independent oversight and transparent reporting, complex financial innovations (mark-to-market accounting, SPEs) can be exploited to conceal risk and inflate performance. Effective corporate governance requires strong and independent boards, auditor accountability, and regulatory frameworks that keep pace with market innovation.

5. Theranos: Background and Why It Succeeded

Theranos was founded in 2003 by Elizabeth Holmes in Silicon Valley, promising to revolutionize healthcare with a technology able to run hundreds of blood tests from a single finger-prick sample. Backed by influential investors and a high-profile board, the company reached a valuation of \$9 billion, becoming a celebrated "Unicorn". In 2015, investigations revealed the technology never worked as advertised, leading to one of the most famous startup frauds in history.

Why Theranos succeeded despite the fraud:

- Hype around a supposedly revolutionary blood-test technology.
- A charismatic founder with strong media appeal and strong investor appetite for "disruptors".

6. Theranos: How the Fraud Worked and Why It Differs From Enron

What makes a "Unicorn" like Theranos peculiar compared to traditional businesses:

- Valuation is based on **potential**, not actual results.
- Secrecy is maintained around the underlying technology.
- The company relies on private capital, with no early public-market scrutiny.

How the Theranos scam was technically possible: the proprietary technology was kept secret, demonstrations to investors and partners were misleading, and there was a lack of peer review or external scientific validation of the claimed technology.

The lecture highlights three main differences between the Theranos collapse and cases like Enron or Satyam:

- Theranos was early-stage and pre-IPO, so it had no widespread public shareholders (unlike Enron).
- The fraud was tied to scientific/technical claims about the technology, not to accounting tricks.
- It was heavily founder-driven, centered on one individual rather than a broader executive team.

The role of the founder, Elizabeth Holmes, was central: she held centralized power as both CEO and the company's public face, cultivated a cult-like leadership style, and the board was loyal to her but inexperienced in biotechnology.

The role of financial markets and individual investors: venture capital firms and wealthy individuals were eager to join "the next big thing", and this fear of missing out (FOMO) led to weak due diligence before investing.

7. Theranos: Key Governance Failures

- A charismatic founder (Elizabeth Holmes) who concentrated power in herself.
- No independent board expertise in biotechnology or medicine.
- Secrecy and opacity, so investors and partners had no real access to underlying data.
- A "Unicorn" hype culture that produced FOMO among investors.
- Weak due diligence by both venture capitalists and retail investors.

Theranos's lesson (as stated in the lecture): independence, transparency and sector expertise are essential for board oversight in innovative startups.

8. Common Mistakes and Exam Traps

- Describing Enron's fraud as "just hiding debt" without naming the two specific mechanisms, mark-to-market accounting (inflating recognized profit) and SPEs (hiding debt/liabilities off balance sheet) — these are two distinct tools working together, not one single trick.
- Assuming mark-to-market accounting is inherently fraudulent — the fraud was in **how** Enron applied it (booking an entire long-term contract's estimated profit immediately, disconnected from actual cash flows), not in the existence of the technique itself.
- Treating Theranos as "an accounting fraud like Enron" — the lecture is explicit that Theranos's fraud was tied to scientific/technical claims, not accounting manipulation, and it had no widespread public investors at the time of collapse (pre-IPO).
- Forgetting that both cases still count as governance failures even though the underlying fraud mechanisms were completely different (accounting engineering versus false scientific claims) — the common thread is boards and oversight structures that failed to challenge a dominant management figure or story.
- Attributing Theranos's board failure only to "not asking questions" — the lecture specifies a more precise cause: the board was loyal to Holmes but lacked relevant biotech/medical expertise, so even a well-intentioned board could not effectively evaluate the technology's claims.

9. Must Know Absolutely

Must know:

- Enron shifted from energy production to energy trading, becoming a "trading house"
- Mark-to-market accounting let Enron book a long-term contract's entire estimated future profit immediately, inflating profits and disconnecting accounting from cash flow
- SPEs are legal entities used (in theory) to separate assets/debt from the parent; Enron abused them to hide debt off its own balance sheet while keeping only the profits visible
- Enron's governance failures, aggressive accounting, hidden debt via SPEs, board/auditor (Arthur Andersen) failure to challenge management, toxic risk culture, regulatory gaps
- Theranos promised to run hundreds of blood tests from a finger-prick, reached \$9bn valuation, collapsed in 2015 when the technology was shown not to work
- Theranos fraud was technical/scientific, not accounting based, pre-IPO with no widespread public shareholders, heavily founder (Elizabeth Holmes) driven
- Theranos governance failures, concentrated founder power, no independent biotech/medical board expertise, secrecy, unicorn-driven FOMO, weak VC/retail due diligence
- Shared lesson across both cases, independent oversight, sector-relevant board expertise, and transparent reporting are what governance is supposed to supply against a dominant management narrative

Watch Out

Watch out: the syllabus lists this session's topic as "Global governance failure, Enron" only, but the actual lecture slides cover both Enron and Theranos as parallel case studies, this fiche follows the slides, which are the primary source.